



EXECUTIVE SUMMARY | Pennon Group Water Demand Analysis | Jayanth Vorsu | May 2026

PURPOSE

This analysis examines per capita consumption and leakage performance across South West Water, Bristol Water, and SES Water from 2019-20 to 2024-25, using verified data from Ofwat's Water Company Performance Report 2024-25.

KEY FINDINGS

All three Pennon companies currently report per capita consumption of 146-148 litres per person per day, which remains materially above the Environment Act 2021 target of 110 l/p/d by 2050. The primary drivers behind persistently high PCC are insufficient smart metering penetration, limited household behaviour change programs, and fragmented data systems across the three post-merger companies. SWW leakage at 107.8Ml/day also remains well above the long-term target of 61.75Ml/day, driven by aging network infrastructure and measurement inconsistencies currently under Ofwat enforcement investigation. The COVID-19 pandemic drove a marked increase in demand in 2020-21, underscoring how external shocks can materially affect long-term demand forecasts. SES Water shows comparatively strong leakage performance — already meeting its AMP7 target — but post-merger priority should now shift toward accelerated PCC reduction.

THREE RECOMMENDATIONS — IN PRIORITY ORDER

Priority 1 — Accelerate smart meter rollout across the SES region Estimated PCC reduction of 5-8 l/p/d within three years, based on performance data from comparable Ofwat-regulated companies that have completed rollouts. SES's smaller customer base makes this the most cost-effective starting point across the group.

Priority 2 — Expand the Water Efficiency Business Innovation Fund Develop a tiered grant model — £15,000 for SMEs, up to £50,000 for larger industrial applicants — to unlock higher-volume water saving projects. Key next steps include defining eligibility criteria, securing additional budget allocation, and establishing a dedicated application assessment process.

Priority 3 — Establish a unified demand data platform Build a consolidated Power BI platform pulling live data from SWW, Bristol, and SES. Key integration challenges include standardizing data formats across three legacy systems, aligning regulatory reporting requirements, and establishing post-merger data governance protocols. This platform would directly support WRMP delivery and Ofwat regulatory reporting efficiency.

CONCLUSION

Without significant acceleration in demand-reduction activity during AMP8, none of the three companies will meet the 2050 targets on schedule. The three recommendations above are sequenced by impact and feasibility — smart metering delivers the fastest measurable PCC reduction, fund expansion scales existing successful infrastructure, and the data platform enables long-term analytical capability across the group.